

ARTICLE V

BOARD OF DIRECTORS

5.1 Number and Qualification. At the first annual meeting of the Association the initial five (5) members of the Board of Directors shall be elected. The Board shall constitute the Initial Board of Directors and shall, thereafter, subject to the Condominium Documents, govern the affairs of the Association until their successors have been duly elected and qualified.

5.2 Powers and Duties. The Board shall have the powers and duties necessary for the administration of the affairs of the Association and for the operation and maintenance of a first class residential condominium project. The Board may do all such acts and things except as by law or by the Condominium Documents may not be delegated to the Board of Directors.

5.3 Other Powers and Duties. Such powers and duties of the Board shall include, but shall not be limited to, the following, all of which shall be done for and in behalf of the owners of the condominium units:

(a) To administer and enforce the covenants, conditions, restrictions, easements, uses, limitations, obligations, and all other provisions set forth in the Condominium Documents.

(b) To establish, maintain and enforce compliance with such reasonable house rules as may be necessary for the operation, use and occupancy of the Properties with the right to amend the same from time to time. A copy of such rules and regulations shall be delivered or mailed to each member promptly upon the adoption thereof.

(c) To keep in good order, condition and repair all of the general and limited common elements and all items of common personal property used by the owners in the enjoyment of the Properties.

(d) To insure and keep insured all of the insurable common elements of the Properties in an amount not less than their maximum replacement value; and to insure and keep insured all of the common fixtures, equipment and personal property for the benefit of the owners of the condominium units and their first mortgagees. Further, to obtain and maintain comprehensive public liability insurance covering the entire premises in amounts not less than \$100,000.00 per person and \$1,000,000.00 per accident and \$50,000.00 property damages.

e) To prepare a budget for the Properties at least annually, determine the amount of the common charges payable by the unit owners to meet the common expenses of the Combined Properties, assess the unit owners for their share of the common expenses, and by majority vote of the Board adjust, decrease or increase the amount of the monthly assessments, and remit or return to the owners at the end of each operating year any excess of assessments over expenses and working capital. To levy and collect special assessments whenever in the opinion of the Board it is necessary to do so in order to meet increased operating or maintenance expenses or costs, or additional capital expenses, or because of emergencies. Each unit owner shall be assessed an amount equal to the sum of the lawfully determined common expenses multiplied by the fraction shown on Exhibit "A-I" to the Declaration.

f) To collect delinquent assessments by suit or otherwise and to enjoin or seek damages from an owner as is provided in the Condominium

Documents. To enforce a late charge of no less than Five and No/100 Dollars (\$5.00) and to collect interest at the rates provided in the Declaration in connection with assessments remaining unpaid more than fifteen (15) days from due date for payment thereof, together with all expenses, including attorney's fees incurred. To prohibit use by the owner, his guests, tenants, lessees and invitees of the general common elements in the event the assessments remain unpaid more than thirty (30) days from due date for payment thereof.

g) To protect and defend the Properties from loss and damage by suit or otherwise.

h) To borrow funds in order to pay for any expenditure or outlay required pursuant to the authority granted by the provisions of the Condominium Documents, and to execute all such instruments evidencing such indebtedness as the Board may deem necessary. Such indebtedness shall be the several obligations of all of the owners in the same proportion as their interest in the general common elements.

i) To enter into contracts within the scope of their duties and powers.

j) To establish a bank account or accounts for the common treasury and for all separate funds which are required or may be deemed advisable by the Board.

k) To make repairs, additions, alterations and improvements to the common elements consistent with managing the condominium project in a first class manner and consistent with the best interests of the unit owners.

- l) To keep and maintain full and accurate books and records showing all of the receipts, expenses or disbursements and to permit examination thereof at any reasonable time by each of the owners, and to cause a complete audit of the books and accounts by a certified or public accountant, once each year.
- m) To prepare and deliver annually to each owner a statement showing receipts, expenses or disbursements since the last such statement.
- n) To meet at least once each quarter.
- o) To employ the personnel necessary for the maintenance and operation of the general and limited common elements.
- p) In general, to carry on the administration of the Association and to do all of those things necessary and reasonable in order to carry out the governing and the operation of the Properties.
- q) The Board of Directors may employ a managing agent (Managing Agent) who shall, subject to the control of and the conditions imposed by the Board, have and exercise any of the powers granted to the Board of Directors by the Declaration and By—Laws except those powers set forth in paragraph 28 of the Declaration.

5.4 No Waiver of Rights. The omission or failure of the Association or any condominium unit owner to enforce the covenants, conditions, restrictions, easements, uses, limitations, obligations or other provisions of any of the Condominium Documents, shall not constitute or be deemed a waiver, modification or release thereof, and the Board or the Managing Agent shall have the right to enforce the same thereafter.

5.5 Election and Term of Office. At the first meeting of the Association, the initial term of office of the Directors shall be as follows: Two (2) Directors — Three (3) year terms Two (2) Directors — Two (2) year terms One (1) Director - One (1) year term At the expiration of the initial term of office of each Director, his successor shall be elected in conformity with Section 5.1 hereof and shall serve the same term as his predecessor. The Directors shall hold office until their successors have been elected and hold their first meeting, except as is otherwise provided.

5.6 Vacancies. Vacancies on the Board caused by any reason other than the removal of a Director **by a vote of the Association** shall be filled by vote of the majority of the remaining Directors, even though they may constitute less than a quorum; and each person so elected shall be a Director until a successor is elected at the next annual meeting of the Association.

5.7 Removal of Directors. At any regular or special meeting of the Board or the Association duly called, **the Director elected pursuant to Section 5.1 may be removed with or without cause by majority vote of the Board or the Association**, as the case may be, and a successor may then and there be elected by the Board in conformity with Section 5.1. No Director may be removed without the prior opportunity to be heard by the Association. **Unclear about APPOINTED Directors and officers,,,**

5.8 Organizational Meeting. The first meeting of a newly elected Board of Directors shall be held within ten (10) days following the annual meeting of the Association. Such meetings shall be at the place fixed by the Directors at such annual meetings subsequent to their election. Further notice to the

newly constituted Board shall not be required providing a majority of the Board shall be present.

5.9 Regular Meetings. Regular meetings of the Board of Directors may be held at such time and place as shall be determined, from time to time, by a majority of the Directors, but at least one such meeting shall be held during each calendar quarter. Notice of regular meetings of the Board of Directors shall be given to each Director, personally or by mail, telephone or telegraph, at least three (3) days prior to the day named for such meeting.

5.10 Special Meetings. Special meetings of the Board of Directors may be called by the President on three (3) days notice to each Director, given personally or by mail, telephone or telegraph, which notice shall state the time, place (as hereinabove provided) and purpose of the meeting. Special meetings of the Board of Directors shall be called by the President or Secretary or Assistant Secretary of the Association in like manner and on like notice on the written request of one (1) or more Director(s).

5.11 Waiver of Notice. Before or at any meeting of the Board of Directors, any Director may, in writing, waive notice of such meeting and such waiver shall be deemed equivalent to the giving of such notice. Attendance by a Director at any meeting of the Board shall be a waiver of notice by him of the time and place thereof. If all the Directors are present at any meeting of the Board, no notice shall be required and any business may be transacted at such meeting.

5.12 Board of Directors' Quorum. At all meetings of the Board of Directors, a majority of the Directors shall constitute a quorum for the transaction of business, and the acts of the majority of the Directors present at a meeting

at which a quorum is present shall be the acts of the Board of Directors. If, at any meeting of the Board of Directors, there is less than a quorum present, the majority of those present may adjourn the meeting from time to time. At any such adjourned meeting, any business which might have been transacted at the meeting as originally called may be transacted without further notice.

5.13 Fidelity Bonds. The Board of Directors may require that all officers and employees of the Association handling or responsible for Association funds shall furnish adequate fidelity bonds. The premiums on such bonds shall be a common expense.

5.14 Compensation. No member of the Board of Directors shall receive any compensation for acting as such.